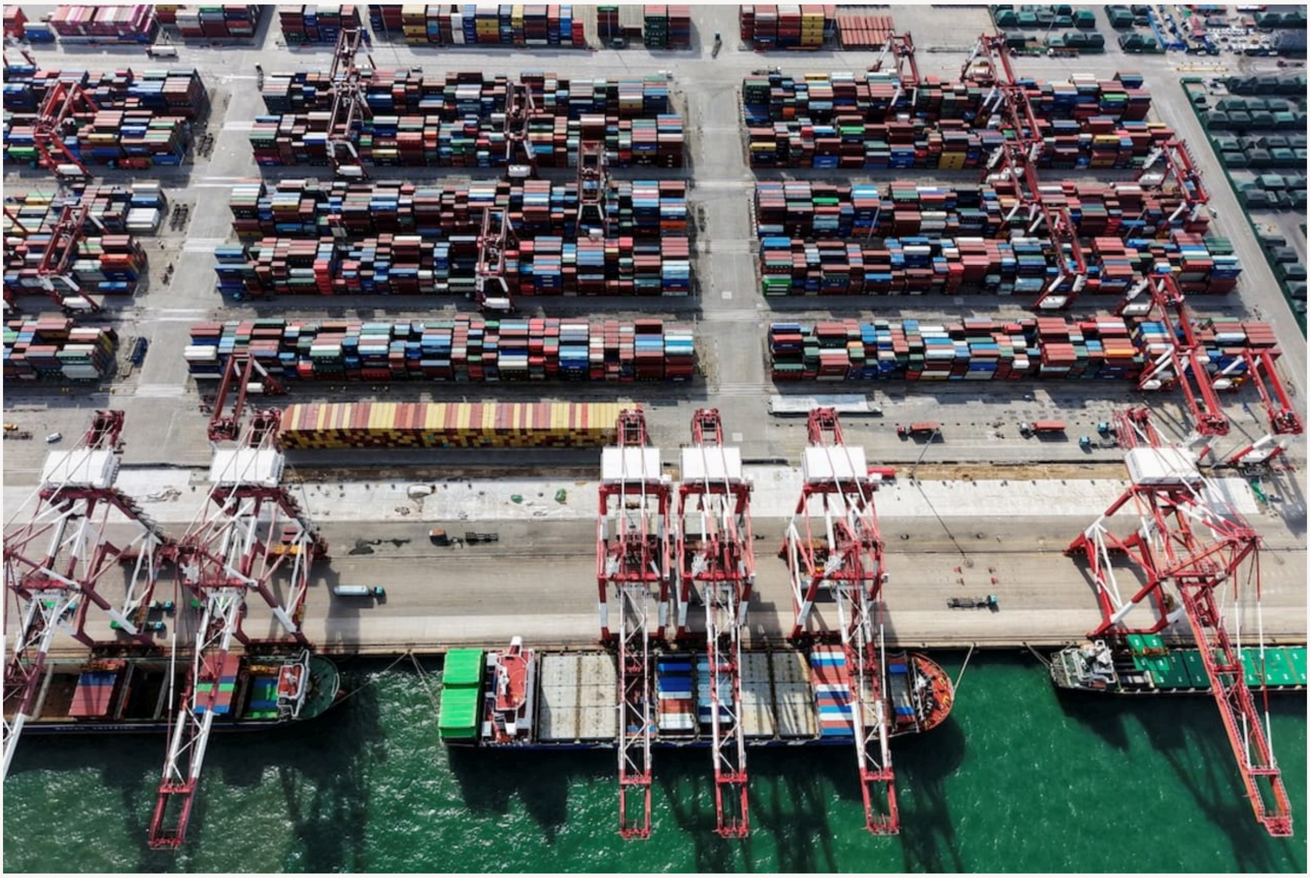
EXPERT TAKE FOLLOW THE MONEY

China, Not Europe, is the Source of the World's Imbalances

How Ireland and China's statistical agency pulled the wool over the eyes of the IMF and OECD.



A drone view shows ships and containers at the port in Qingdao, Shandong province, China October 20, 2025. China Daily/Reuters

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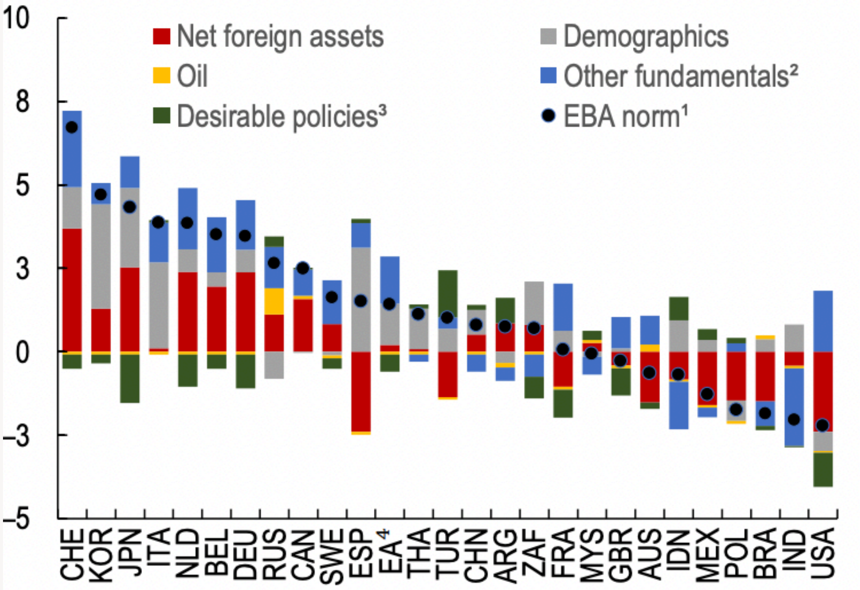
There is a particular chart that appears in most OECD and IMF publications on imbalances that paints a deceptive picture of the state of today's world. It shows that Europe's current account surplus was bigger, as a share of its GDP, than China's surplus —back in 2024.

Figure 1.18. External Balance Assessment Current Account Norms, 2024
(Percent of GDP)



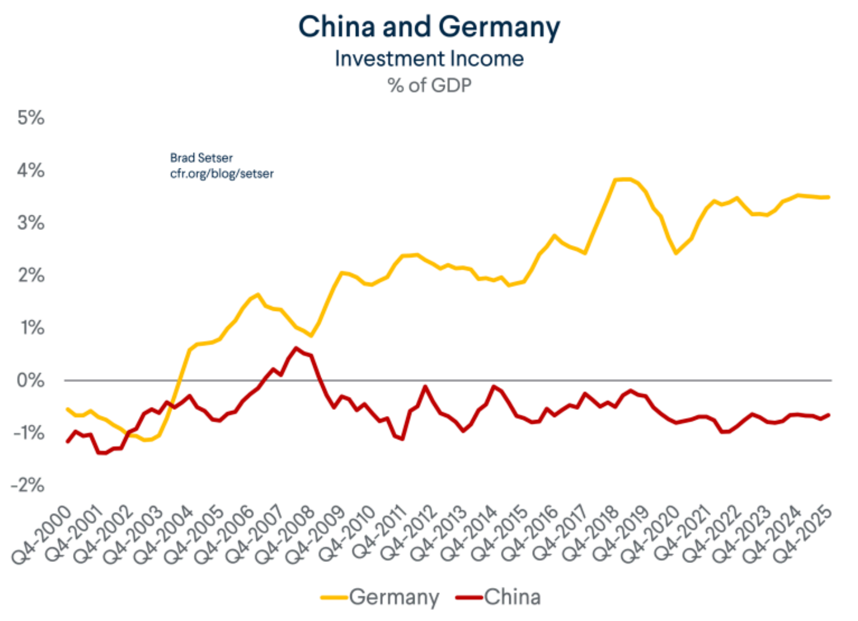
Source: IMF, External Balance Assessment estimates.

There are three major problems with this chart:

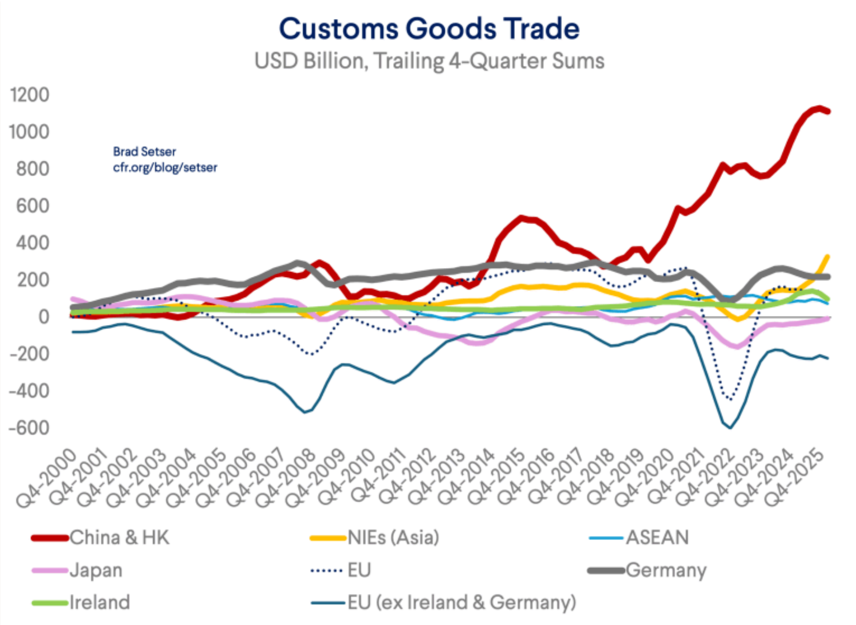
1. It uses very stale data. China's reported current

since the end of 2024. Net exports added over a point and a half to China's growth since then, and the euro area's surplus is down from €420 billion to €280 billion. And in one prominent sector, autos, China's surplus is way up. Its exports have increased by 3 million since then while its auto imports are down by a quarter of a million.

2. It doesn't adjust the euro area's surplus for Ireland—which matters. See the problems that the end of pharmaceutical front running created for the overall euro area GDP data in the first quarter. And it especially matters if there is an attempt to solve for China's clearly misreported investment income data by just using balance of payments goods and services data, as Ireland runs an absolutely massive but enormously inflated goods and services surplus thanks to profit shifting by mostly American multinationals.
3. It takes the Chinese current account surplus and its bizarre reported deficit in investment income (China is the world's second largest investor, after Germany, yet it loses $125 billion on net on interest and dividends while Germany gets over $150 billion) at face value.



The overarching issue, of course, is that China changed its balance of payments data in a way that both eliminated errors and omissions from the financial account and reduced its reported balance of payments goods surplus back in 2022 (it now enters the data for 2021 as well). Moreover, the statistical adjustment—a fundamental shift in how the goods balance is calculated in the balance of payments—clearly reduced the reported current account surplus significantly at a time when the underlying customs surplus was exploding up.



The need for international organizations assessing the world’s trade and savings and investment imbalances to use more than the reported current account balance in their assessment of China should now be obvious. No one believes the reported investment income deficit at this point. And frankly it by now should be best practice for the major international organizations to use trailing four-quarter sums (which are still lagged by quarter) rather than annual data.

The need to adjust the euro area and EU data for Ireland should be equally obvious.

In theory, being the tax home for Apple (raises BOP goods exports but not customs exports), Microsoft (raises services exports), Eli Lilly (raises customs and BOP goods exports), Google (raises service exports and imports, as Google’s global IP is a U.S. tax resident and Google’s Irish subsidiary has to pay to use “California’s” IP) and others shou pact the balance of payments. The tax gymnastics of U.S. firms should result in a higher goods and services surplus, but there should be an offsetting outflow of profits (FDI income payments) from the Irish subsidiaries of U.S. firms back to their U.S. parents and thus a large deficit in investment income that keeps the current account unchanged.

In practice, however, the end of the double Irish and the "Irish-shoring" of the world's intellectual property has led to a big swing in Ireland's current account surplus, with the current account moving from a large deficit in the days when the Irish subsidiaries of U.S. firms "invested" to bring the Caribbean (or Channel Island) IP of U.S. firms onto Ireland's green shores to a big surplus now.

Ireland reported a current account deficit of 75 billion euro in 2019, and now reports a surplus of 50 billion euro; that is a massive shift which has no real bearing on any of the variables that the IMF or OECD are trying to measure in their reports on imbalances (of course, it does say a lot about the evolution of the tax strategies of U.S. multinationals).

And it matters for the IMF's assessment of the world's "excess" imbalances: netting Ireland out brings the euro area's 2025 current account surplus down to around €230 billion (~$250 billion), or well under 2 percent of euro area GDP.

Ireland has an even more outsized impact on the euro area's goods and services balance, as Ireland's euro 250 billion BOP goods surplus is a shocking 40 percent of Irish GDP (thanks to BPM 6 accounting for Apple and big pharma).

And netting Ireland out changes Europe's income balance from a deficit (reflecting the huge profits of U.S. multinationals in Ireland, now ~€300 billion) to a more reasonable surplus.

All this matters, of course, when it comes to trying to find a politically feasible way of presenting China's actual surplus into cross-country/cross-region comparisons.

As mentioned earlier, China poses two distinct issues.

First, China reports a large ($125 billion) income deficit despite being the world's second largest creditor (bigger than Japan) with a positive $4 trillion net credit position in the "stock" tables showing countries net international investment positions.

No one has been able to explain that deficit adequately.

The IMF could not (see the 2025 External Sector Report, Box 1.1). Shang-Jin Wei and Chang Ma could not.

I also cannot. My various models of what China's income balance sheet should be—based realistic assumptions around investment returns—point to a surplus of around $100 billion. One easy way to see why: SAFE's reserves are pretty close to the positive NIIP position and SAFE reported a 3 percent return on its reserves in the 2010s, the low-for-long decade. That profit should be higher now.

Set aside the debate over the merits of the new methodology that China trotted out for calculating its goods surplus in the balance of payments back in 2022 (see the IMF 2024 staff report for details) — which now enters into the 2021 statistics. There is no doubt that the adjustment:

1. Lowered the reported goods surplus in the balance of payments relative to customs.
2. Changes over time in ways that are difficult to explain. The gap between BOP goods using the pre-2021 methodology and the new data was around $300 billion annualized ... ch of 2023

and 2024; it has now shrunk to around $150 billion for reasons that SAFE hasn't credibly explained.

3. Has had the effect of lowering reported current account surplus, not just shifting Apple's "onshore" profit into the goods account and out of either services or income.

This is obvious in any careful examination of the data, particularly the quarterly data.

One way of addressing these data problems is just using the customs trade balance—a retro indicator, but one that can be easily verified.

That goes too far for some people (services!) but the easy solution—using BOP goods and services—solves the problem of China's fudged investment income account but augments the Irish distortion to Europe.

The best solution would be to calculate China's surplus using the pre-2021 methodology (at least until China can provide a plausible explanation for what is happening elsewhere in the BOP when Apple's in China surplus enters the BOP goods numbers, and can explain the bizarre downward adjustment in BOP exports—the Apple in China adjustment raises BOP exports…) and to net out Ireland from the euro area data.

Bottom line: when netting Ireland out, China's goods and services balance is two times hig[illegible]n the euro area's surplus—and it has risen a lot over the last five years.

And these adjustments also change the comparison between China's surplus and Germany's surplus, as Germany's goods and services surplus is now lower than China's goods and services surplus, consistently reported.

All this is too important to global surveillance not to be factored into the IMF and the OECD's work in some way.

It simply isn't credible to keep showing charts that show Europe is as "bad" as China—not when European trade has lagged China's trade so badly for the last few years.**

Yes, the current account is the standard metric, but it is important to understand what goes into that metric, and what may be missing. The gap between the reported current account and high frequency measures like customs goods should have been a warning that something was off.

* Of course, I personally think China's approach generates a nonsensical adjustment; all the more so as the downward adjustment in the customs surplus in the BOP data seems to vary over time so as to keep reported errors (the statistical error) close to zero. The Chinese, with support (sadly) from the IMF's statistics division, say that their survey-based methodology is actually the IMF's recommended methodology. That's true, but it shouldn't stop the IMF from evaluating the quality of the adjustment.

** This chart from the July 2025 External Sector Report, which shows contribution to excess imbalances, illustrates the same misleading framing.

From Follow the Money and Greenberg Center for Geoeconomics

CHINA ECONOMICS

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June 22, 2026

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EXPERT TAKE FOLLOW THE MONEY

Currency Moves Can Drive Rebalancing

The currencies of Asia's major economies are all substantially undervalued

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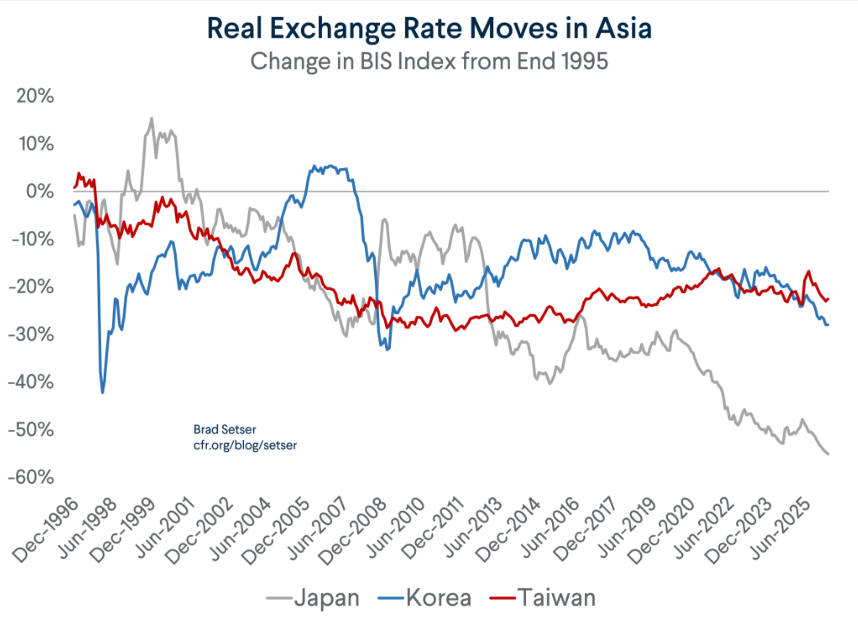
Shahin Vallée and I have a piece in Foreign Affairs that calls for bringing currency diplomacy back and making the appreciation of China's currency the central ask of the G7 and its partners.

Given the broad weakness of the currencies of all the big Asian surplus economies (Japan's surplus is from investment income; Korea and Taiwan run exceptionally large trade surpluses) we call for coordinated action to raise the value of all the key Asian currencies. China can strengthen the renminbi by just setting the daily fix at a strong[illegible] stronger level. We would also welcome coordinated G7 support for the won and yen so all the major Asian currencies strengthen.*



Realistically, this isn't going to happen soon. Prior to the Evian leaders summit the G7 finance ministers and central bank governors of the G7 agreed on a plan that doesn't even mention the level of the yuan. President Trump remains focused on tariffs and the bilateral U.S.-China trade balance when he is not distracted by Iran or other matters.

But it needs to happen eventually. It is hard to see how global trade imbalances (linked of course to different patterns of savings and demand across countries) can be reduced without a realignment of global exchange rates.

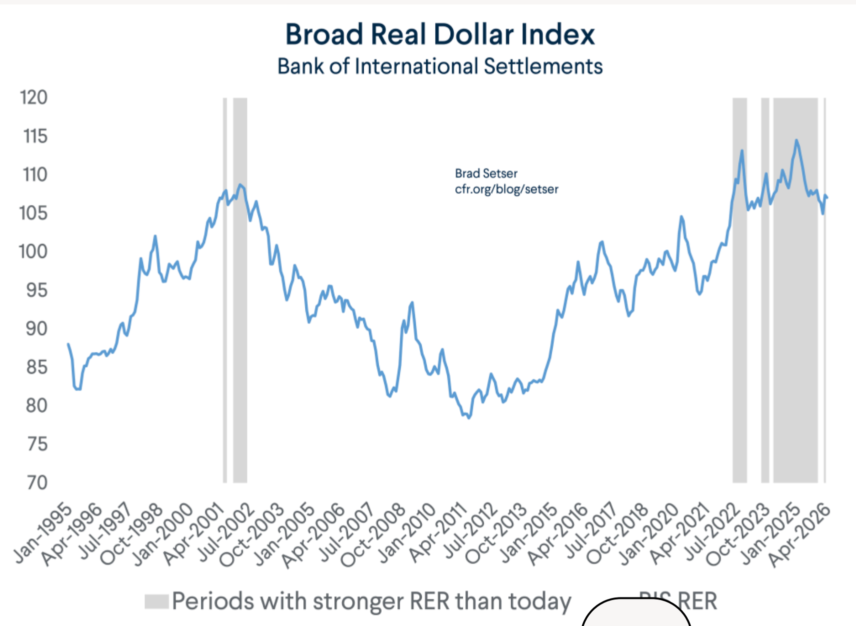
Indeed, our view is that there needs to be renewed appreciation (ha!) of the role that currency can play in bringing down trade imbalances.

That will require a shift in how many in the IMF—and many prominent economists, including the G7 Economist group that the French convened—are thinking about the issue. The current consensus tends to play down the immediate importance of changing the value of key surplus and deficit economies, and to argue that that shifts in underlying policies need to precede and in a sense drive subsequent currency changes. We would reverse that—a currency move will change the flow of trade on its own, and it will then need to be supported with domestic policy changes (including more support for domestic consumption in China and a bit of fiscal restraint in the United States) that make it easier to sustain the change in currency values. We aren't alone here. Malcolm Scott of Bloomberg put it well: "If exports stall, policy makers will step in to do more to prop up domestic demand, but while ever the external sector remains robust there's less need for significant stimulus."

In our view, the proposals that emerged out of recent work by the IMF and a group of prominent international economists convened by France doesn't provide the needed basis for a global conversation on how best to reduce the risks posed by imbalances—largely because this effort to force a new consensus doesn't go far enough in three important respects:

First, it misreads the financial history of the pre-global crisis period by neglecting the role of reserve prior to the global financial crisis. Unprecedented reserve growth drove large inflows of official capital into the bond market. There is no surprise that this inflow came as the dollar depreciated – an unwillingness by surplus countries to allow their currencies to appreciate even as U.S. rates were below global rates led to a surge in intervention, and proceeds of that intervention needed to be invested primarily in U.S. safe assets. This core uphill flow was clearly an official flow from Asian central banks; it was pushed out of surplus countries by reserve accumulation not pulled into the U.S. by the high returns on U.S. housing investment. Banks then created synthetic safe assets in part to meet demand from private investors pushed out of the Treasury and Agency market by official actors.

Second, it downplays the role that exchange rates have played in causing or reducing imbalances.



This stems in part from a misreading of the 1980s Plaza Accord that makes exchange rate coordination a sideshow and attributes the entire fall in the U.S. trade deficit to the fiscal consolidation that occurred over the course of Reagan's second term rather than to the dollar's large fall.**

It also draws on an interpretation of the financial history of the last 25 years that ignores the role a weak yuan from 2002 to 2006 played in the rise in China's external surplus prior the Lehman shock and the role a stronger yuan played in bringing down China's surplus down during the years after the global financial crisis. This shunted view of history results in a new excuse for ignoring currency intervention, namely that changes in the nominal exchange rates don't drive changes in the real exchange. There though is ample empirical evidence to the contrary. Domestic prices are sticky and adjust slowly; as a result, nominal exchange rate moves are only offset by changes in the level of domestic prices slowly and partially.

Third, the IMF paper posits a strong dichotomy between "micro" and "macro" industrial policies. This distinction that the IMF draws between "macro" industrial policies (including intervention to weaken a currency) and "micro" industrial policies (sectoral support, whether from directed purchases, directed lending or outright subsidies) is theoretically helpful. But the correlation between macro industrial policies sorting out the relative contributions of micro-industrial policies and currency policy difficult. In practice, there is much more continuity between micro and macro industrial policies than in the IMF's models—and the countries generally judged to have the most successful "micro" industrial policies also often have active "macro"-industrial policies to support exports through undervalued exchange rates. The interaction between the two often seems to generate large and persistent surpluses—the exports from industrial policy success stories making creating a political economy that makes policies suppress domestic consumption more sustainable over time. Sorting out the different impact of macro-industrial policies and micro-industrial policies is all the more difficult because the IMF's standard framework for external assessment still doesn't capture many policies—outflows through a sovereign wealth or pension fund, the buildup of foreign exchange in a state banking system—that would appear to meet the IMF's definition of a "macro" industrial policy, and that in many cases have a clear impact on the foreign exchange market.***

In our view, this work—unfortunately—cannot produce an actionable agenda. It suggests nothing can be done until Chinese domestic policies change or U.S. fiscal policy changes. That is a recipe for inaction, and one that will result in ever more pressure on Europe's already challenged industrial base. The status quo isn't static; it is associated with China that gets its growth heavily from net exports and thus its is associated with an ever-rising Chinese surplus.

Waiting for China to change its pattern of growth through reforms that support household consumption thus isn't really a tenable option for those countries that are seeing their own exports squeezed by China's growing surplus. Waiting for the U.S. to bring its fiscal deficit down means accepting the growing weight Treasury supply places on global financial markets will continue. The demand for the world's goods created by U.S. fiscal deficits helps make up for the demand deficit generated by China's surplus, but at the cost of a slow build-up of macro-financial risks.

At a time when the global surplus is concentrated in East Asian surplus economies that all have weak currencies—and with China now putting the weight of its state financial sector on the market to limit the pace of yuan appreciation, a coordin[illegible]preciation of Asian currencies is the simplest and easiest way to bring down trade imbalances. China surely cannot be coerced by any actor, neither the U.S. nor the G7 to change its exchange rate policy but it could possibly be persuaded that its own interests would be served by a coordinated revaluation of other currencies in Asia. This is all the more the case if China comes to understand that the alternative to a stronger renminbi is ever growing restrictions on its trade.

Currency diplomacy alone is not sufficient to durably reduce trade imbalances. But it can start the process. If China gets less growth from exports, it will face more pressure to undertake the reforms needed to strengthen domestic sources of growth. The same process would play out in other surplus economies—including Taiwan. And smaller surpluses—or at least a slower pace of growth in the world's surpluses—would place a bit more pressure on the U.S. to reign in its fiscal deficit.

A bit more coordination to strengthen Asia's obviously undervalued currencies is thus the right place to start the broader process of a coordinated rebalancing.****

* Korea is already supporting the won by adjusting the allowed hedge ratio of its massive National Pension Service (~ $600 billion in foreign assets, mostly unhedged); Japan could do more to support the yen as well notably through a faster pace of

normalization. The Bank of Korea's governor Hyun Shin has already indicated that the Bank of Korea will hike rates further given the demand pressures linked to the memory chip windfall.

Note that this a joint blog from both Brad Setser and Shahin Vallee

** Trade adjusts to changes in exchange rates with a lag (usually thought to be 8 quarters but some work suggests that it might now be more like 12 quarters. The Plaza agreement didn't bring the U.S. deficit down immediately, but by 1987 the real U.S. trade deficit was clearly shrinking. The overall trade deficit fell from around 3 percent of U.S. GDP to around 1 percent of U.S. GDP) between 1987 and 1990. This fall occurred even with strong demand growth in the US in 1988 and 1989, so it wasn't just a function of underlying shifts in the global pattern of demand growth. Net exports contributed positively to U.S. growth once the dollar had clearly moved off its 1985 highs across the cycle. Japan's surplus also fell from 4 percent of GDP to 2 percent of GDP—with a large reduction in its bilateral surplus with the U.S.

*** Ask the Bank of Korea. Former governor Rhee has highlighted how the NPS outflow worked at cross purposes with his efforts to support the Korean won.

**** The IMF's argument for coordination—namely that it would be easier to bring down surpluses and deficits without a loss of growth if all of the world's big economies acted simultaneously—is correct. China needs to do more to support its domestic growth so that slower growth in exports doesn't reduce output and increase deflationary pressures. The U.S. needs to reduce its fiscal deficit so that it is less of a magnet for imports and capital, and to create space for higher exports without overheating. And with less demand from the U.S., Europe needs to do more to raise investment and to support its own growth.

GUEST AUTHOR

Shahin Vallée

From Follow the Money and Greenberg Center for Geoeconomics

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EXPERT TAKE FOLLOW THE MONEY

Scaling China's Hidden Intervention In the Foreign Exchange Market

Is China's actual intervention even larger than I thought?

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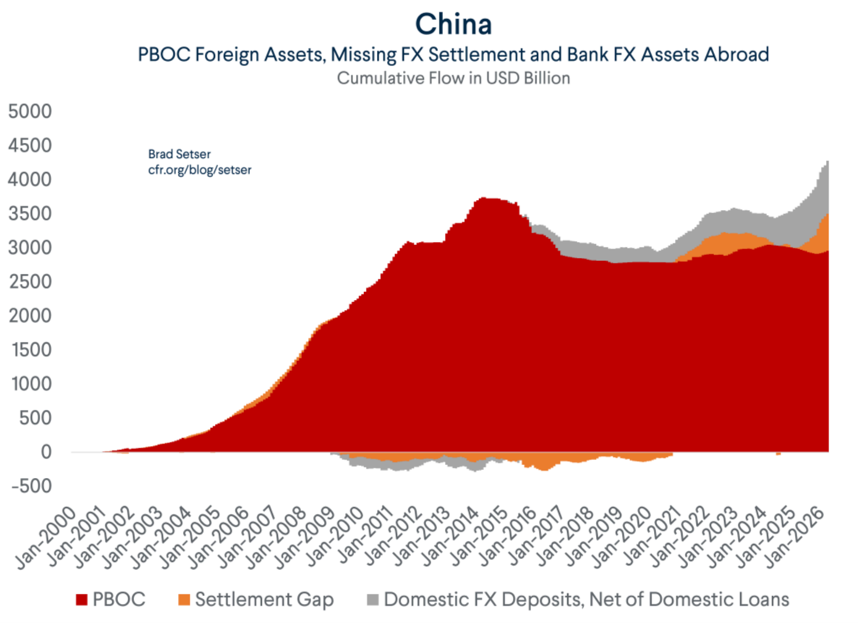
China's central bank (the PBOC) has been arguing—in conversations with some think tanks—that the rise in the foreign assets of China's state commercial banks just reflects investments financed by a rise in domestic foreign currency deposits. Since the state banks are just putting foreign currency raised domestically to use globally, the rise in the state banks foreign assets doesn't reflect backdoor intervention to support the yuan.

Fair enough.

That is the best possible argument available to the PBOC at a time when the foreign assets of China's state banks have surged.



Of course, there is also reason to be suspicious.

The state banks have in the past been used to disguise PBOC intervention, as the PBOC provided the state banks with some of the foreign exchange it bought to manage, and thus moved the foreign exchange out of reported reserves.*

This certainly happened in 2005 and 2006, when the PBOC used swaps to transfer dollars over to the state banks (the state banks invested the funds in foreign bonds, and registered as a portfolio debt outflow). It happened again in the 2007 and 2008, which the state commercial banks were required to hold a portion of their required reserves in foreign currency. This registered as other foreign assets on t OC's balance sheet, and as an "other, other" outflow in the balance of payments.* By contrast, countries like Turkey and Argentina report the foreign exchange that domestic banks hold at the central bank as part of their required domestic reserves, and as part of the central banks' foreign exchange reserves.

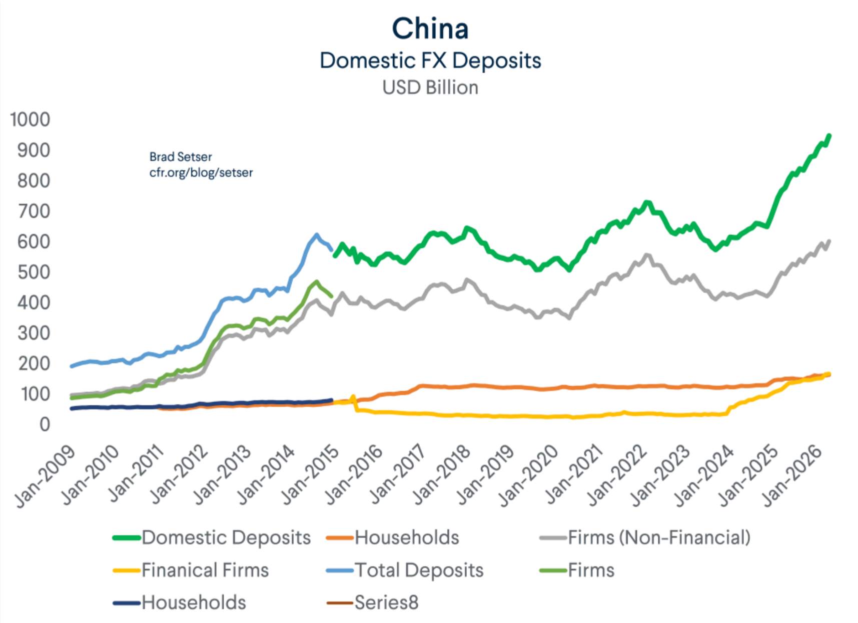
But these examples are from the past, and they didn't coincide with a rise in the state commercial banks' domestic foreign currency deposits.

At the same time, the fact that reported foreign currency deposits are rising should not get the PBOC off the hook.

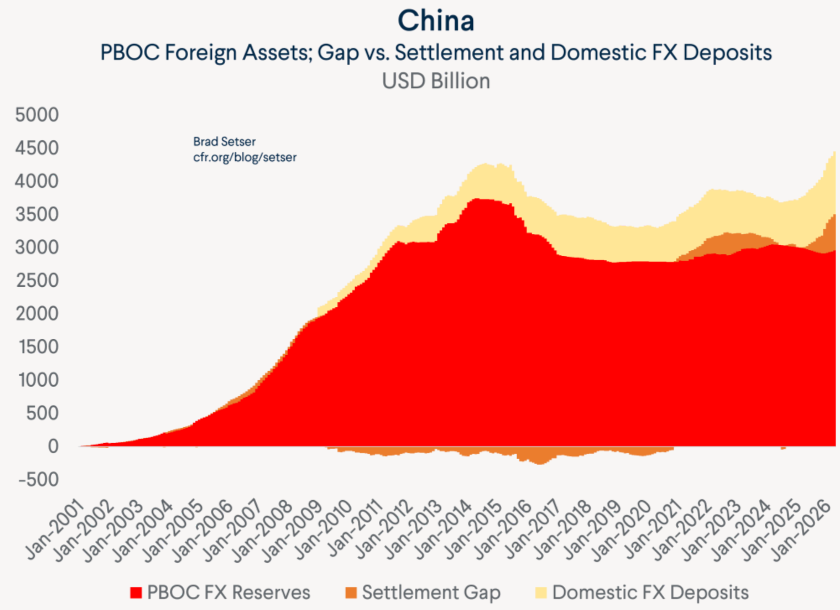
The RMB is obviously managed; its moves are driven by the PBOC's daily fix, and it has far less volatility than a freely floating currency.

The deposit line item itself could reflect backdoor management (the FT back in 2023 called the banks' domestic FX deposits hidden reserves).

And the deposit series itself has long been a bit suspicious.



There was a surge in 2012 for example, which came out of nowhere and coincided with the absence of any PBOC reserve growth (during a U.S. election year where Governor Romney was making China's currency an election issue). It turned out that the rise in deposits was driven by unusually high dollar interest rates, which pulled dollars into the state banking system. In 2013, after the U.S. election, the PBOC returned to more normal reserve accumulation.



And there was another surge in foreign currency deposits in 2020 and 2021.

That too is a bit suspicious.

The Fed ad cut U.S. interest rates in the pandemic, and thus the apparent incentive to hold dollars wasn't there. Chinese policy rates were in fact above U.S. rates, so there wasn't any obvious incentive for Chinese firms to place a lot of dollars in the state banking system.

Foreign currency deposits then fell when the Fed raised rates to contain the post-pandemic surge in inflation in 2022 and 2023. I repeat: deposits fell as the Fed raised rates, and China was, at the time, cutting yuan rates to prop up its domestic economy after the property bubble burst.

Basically, dollar deposits moved in the opposite direction of interest rate differentials (and

CNY/USD) from 2020 to 2023. By contrast, they moved in the way one would expect central bank reserves would move if the central bank was managing its currency to dampen volatility.

The recent runup in foreign currency deposits is also a bit difficult to explain with economic variables.

U.S. rates remain higher than Chinese rates, true. But during the period of dollar deposit growth, the yuan has appreciated modestly against the dollar, so a yuan-based investor would have been better off just holding yuan and profiting from the yuan's appreciation.

All that is to say: the FX deposit series behaves suspiciously like a backdoor intervention series (rising when the yuan is under pressure to appreciate, falling when there is depreciation pressure) rather than as a real indicator of onshore dollar demand.

Moreover, the recent rise in foreign currency deposits is coming from inside the financial sector, which only adds to my suspicions.

But suppose that the PBOC is right, and that the buildup of domestic dollar deposits isn't funded out of backdoor intervention.

The PBOC still needs to explain what is happening with the dollars bought by the state banks (and/or the PBOC) in the FX settlement series.

Remember that settlement is a series that shows net purchases of foreign exchange for yuan.

That is to say that an exporter bringing a dollar onshore and putting it on deposit in the state commercial banks *would not* register in the settlement data. And an exporter that sold dollars for yuan and put the yuan on deposit in the banks *would* appear in settlement.

As a result, the settlement data should be added to the flow generated by the state banks investing domestic dollar deposits abroad (at least so long as the foreign exchange from settlement isn't itself the source of the dollar deposits).

Historically, the foreign exchange bought in settlement more or less all ended up on the PBOC's balance sheet. That makes sense, because settlement implies taking an open position (holding foreign currency assets abroad against domestic currency liabilities) and the risk of losses in the event of an appreciation. It is an intervention variable after all.

In the past, a gap between foreign exchange settlement and the foreign exchange reserves reported on the PBOC's balance sheet genera[illegible]nt that the PBOC had found a way to transfer some of the foreign exchange it bought to the state commercial banks. That was certainly the case from 2006 to the middle of 2008, as the PBOC swapped its dollars for yuan and effectively lent its dollars out to the state banks to manage (as discussed previously).

But in recent years, for reasons that China has never transparently explained and that the IMF hasn't bothered to investigate, the settlement series has diverged from the PBOC's balance sheet.

My suspicion was that the "settlement gap"—the gap between the foreign exchange bought in the settlement series and the foreign exchange that shows up on the PBOC's balance sheet—was discretely being transferred to the state banks (or the state banks were buying the foreign exchange and discretely hedging the risk with the PBOC). That would help explain the rapid growth in the foreign assets and the foreign currency assets of the state banking system.**

But let's assume that the PBOC isn't transferring ANY foreign exchange to the state banks to manage and the growth in the state banks external foreign exchange assets is all organic. That means that the settlement gap isn't contributing to the rise in the external foreign currency assets of the state banks. The extra foreign exchange bought in settlement thus has to be going somewhere else. That implies that the true scale of foreign currency now flowing through

China's state institutions is even bigger than I realized.

Basically, the best current measure of state foreign currency flows would be the sum of foreign currency deposits invested abroad (proxied by domestic FX deposits net of domestic FX loans) and the foreign currency actually bought by state in the settlement series (split into settlement that appears on the PBOC's balance sheet and settlement that doesn't appear at the PBOC– the settlement gap).

One implication is that the total amount of foreign currency intermediated by the Chinese state rose to around $700 billion to their foreign assets over the last 12 months. Note that I am netting domestic fx loans against deposits to get a measure of external foreign currency assets funded domestically.***

Another implication is that the banks and the PBOC added substantially more foreign currency assets to their balance sheet in 2020 and 2021 than would be the case if FX settlement was supporting the expansion of the foreign currency assets of the state commercial banks (see the graph above).

Since the deposit series doesn't look like it maps to economic variables like rate differentials or path of the yuan against the dollar in any predictable way, deposit growth too could be viewed as a form of indirect intervention—one that helps take pressure off the more direct intervention in settlement.****

That would explain why the two series have been correlated—both are ways of absorbing appreciation pressure without (at least right now) putting foreign exchange directly on the PBOC's balance sheet.

I am not entirely sure that this is the right interpretation.

In the past, settlement that did not find its way onto the balance sheet did find its way over to the balance sheet of the state banks, which implies that the series are not additive.

But it is a potentially plausible assumption, and one that is consistent with the PBOC's claims about the state commercial banks.

I could make an even stronger assumption and include settlement on top of the growth in the entire stock of external state commercial bank assets. That includes some external RMB loans (and purchases of RMB denominated securities) financed by domestic FX deposits – as the state banks now may be meeting foreign demand to borrow in cheap RMB out of their domestic balance sheet.*****

That implies even more flows have been funneled through the Chinese state in the last 12 months.

To be sure, such an assumption was wrong in the past. Settlement was equal to the total flow through the PBOC and the state commercial banks prior to the global crisis, as the PBOC moved fx and fx risk over to the state banks to limit visible reserve growth.

But things have changed, and adding settlement to the flows through the state banks doesn't violate any balance of payments checks.

Bottom line: the PBOC has a lot of explaining to do. If settlement isn’t funding the growth in the state banks’ foreign assets, there is more overall foreign asset growth in the state financial system than I realized.

And yes, all this is rather advanced stuff. One implication of the PBOC’s argument that deposit growth is unrelated to settlement is that a lot of foreign exchange must be going to institutions that don’t register in the state commercial banks series; be it the policy banks, one of the state investment banks, or one of China’s many sovereign investment and co-investment funds.******

I don’t have full confidence in any of the adjustments right now.******* But all the indicators point to very large flows through the Chinese state financial system and underlying pressure for the yuan to appreciate.

** I covered this in detail in a previous blog.

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**** Settlement mapped to FX reserves on the PBOC balance sheet before 2016, and the PBOC balance sheet metric seems to exclude interest income. So, the settlement gap is relative to the PBO[illegible]nce sheet, not relative to reserves in the balance of payments. Interest income retained by the PBOC would be another pool of additional assets available to fund investment abroad (for example, gold purchases) "inside" the system.

***** State bank outflows register in "other" (which is basically the banking system, IMF nomenclature here is confusing) in the balance of payments data.

****** The policy banks don't appear in the PBOC banking data. Nor do the investment banks. Nor do the various sovereign funds. So, there are lots of options.

******* The SAFE data on external bank liabilities and assets by currency implies that the state banks on net actually use offshore RMB deposits to fund domestic lending, but the SAFE data here is at odds with the PBOC data (which shows much smaller external liabilities). As usual with China, nothing quite adds up.

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EXPERT TAKE FOLLOW THE MONEY

Time to Stop Forecasting China's Surplus Away

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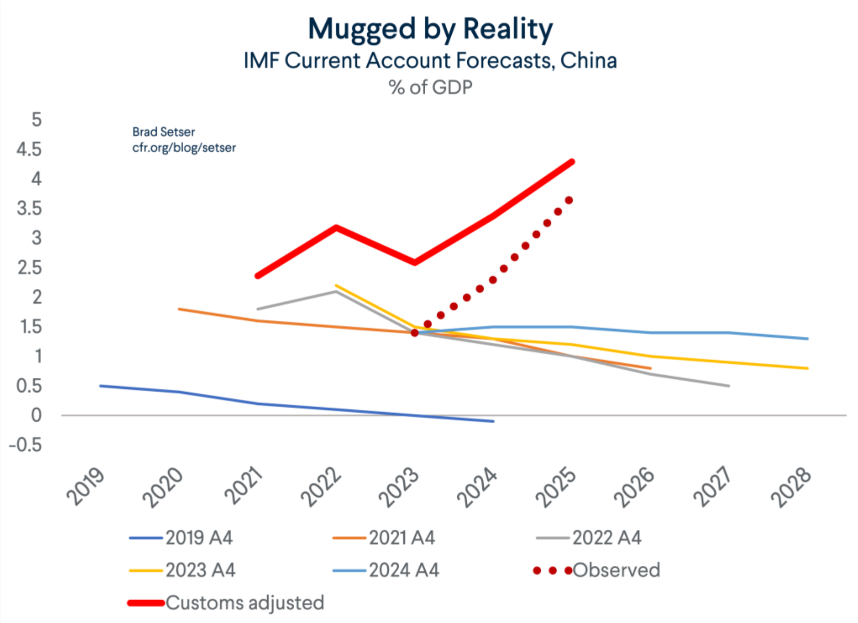
China could run a 10 percent of GDP external surplus if its savings rate stays over 40 percent of its GDP

The IMF, rather consistently, has forecast that China's surplus will fall over time.

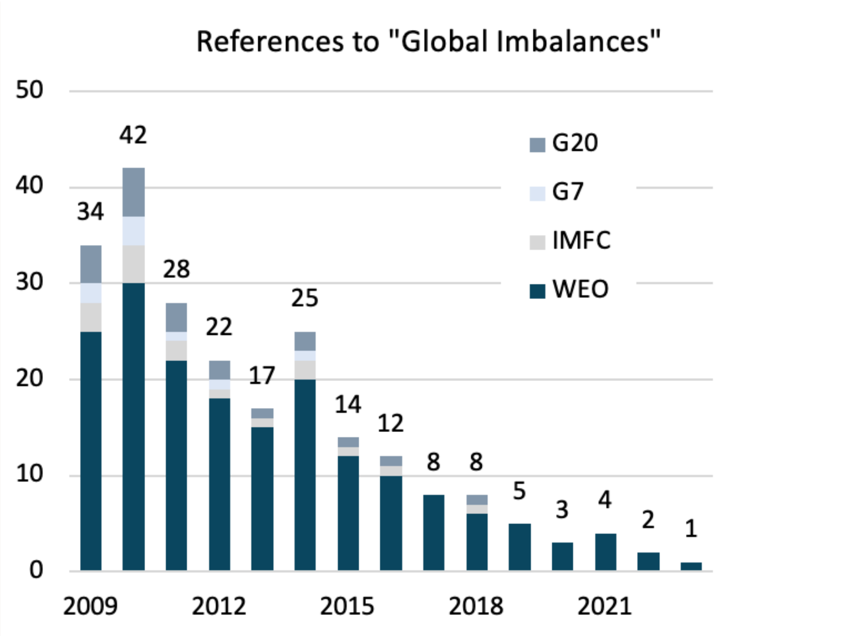
And, until very recently, the IMF more or less forecast that it would fall back to around 1% of China's GDP.

That was the IMF's forecast in 2020, 2021, 2022, 2023, and 2024.



The 2026 forecast in the latest World Economic Outlook is a bit better, but the surplus still trends back down to 2.5 percent of China's GDP over time even in the absence of any projected large policy changes.

The systemic underestimation of China's surplus was part-and-parcel of an IMF that, until last year, generally deemphasized imbalances (Imbalances were judged to be small and on a declining path through the summer of 2024; fragmentation was consistently judged to the be bigger risk). See this chart from Shahin Vallee of the German Council on Foreign Affairs:



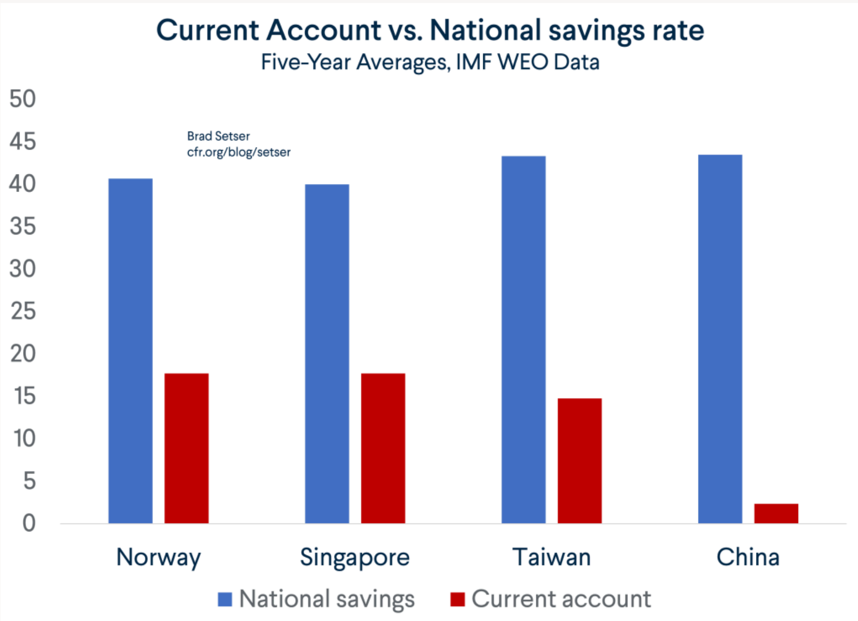
The IMF's past tendency to forecast imbalances away has long been a source of frustration to me: lazy balance of payments forecasts were a symbol of an institution that often needed to be reminded of its actual mandate. It is mostly fiscal had become it is almost all fiscal, at least when it came to the Fund's assessments of China.

There were three reasons back in 2023 to think that China's surplus would trend up.

One was that China's property bubble burst, and the bursting of property bubbles leads to falls in investment and often a rise in the surplus (or, if the property boom led to a deficit, to a reversal in the current account -- as happened with Thailand in 1995 or Spain in 2008/9). The best source on this is, well, the IMF (2024 ESR, Box 1.3).

The second was that China's exchange rate had depreciated significantly, and the IMF's own work (from back in the spring of 2015) would suggest that a weaker real exchange should push the external surplus up, not down (this was a real problem with the 2023 and 2024 forecasts).

The third is that the persistence of China's extremely high national savings rate suggest an underlying tendency toward a large external surplus. Most economies with savings rates of over 40 percent of GDP actually have current account surpluses of over 10 percent of GDP. China, even with a true current account surplus that is now close to 5 percent of GDP, is a bit of an outlier.



There was thus no real basis for the IMF to forecast a fall in China's external surplus.

I make no claims to being a great forecaster, but I did see this coming; I said as much in my 2022 Foreign Affairs article:

> "Back in 2009, China's economy was able to pivot away from exports toward domestic real estate investment to mitigate the global fallout from the U.S. housing crisis because China's financial system was strong enough to support this shift. Plus, China needed more housing and modern infrastructure. Today, China could not reverse that pivot with a large move away from real estate and back to exports without significant disruption, in part because its share of the global economy has roughly tripled in the years since the global financial crisis."

Of course, debates about the past are never just debates about the past, as there is a real—if somewhat muted debate—over whether China's trading partners should push for a policy mix that reduces China's surplus, or more or less accept that the only way out of China's fiscal, property and banking mess is an even larger external surplus.

Of course, no one explicitly says that they would welcome a bigger surplus. But if an international institution's policy advice is monetary easing (to fight deflation), fiscal consolidation (because of off-balance sheet fiscal risks) and more exchange rate flexibility it is effectively advocating for the country to export its way out of its domestic troubles.

There is a variant of this argument which claims that it is impossible for China to generate a real appreciation now, as any nominal appreciation will be nominal prices are sticky (even in China) and nominal moves do generate real moves (the last 8 months have been a case in point).

Of course, it is much more difficult for the IMF or any other body to recommend explicitly that China export its way out of its domestic property downturn now than it was during the peak of the Covid crisis. After five or so years of export-led growth, China's surplus is not only big—it is much bigger than the IMF's models imply it should be.

China's leading think tanks now tend to argue that China's surplus is just a function of China's evolving pattern of comparative advantage, and thus something that China's trading partners should accept. That claim is of course incomplete; comparative advantage implies both exporting and importing more, as both trading partners specialize. Over the last five years, China's expo soared—

growing faster than either global trade (especially in real terms) or China's own economy—while China's import growth has been unimpressive. Even almost non-existent. The surge in both exports and imports in Q1 seems to stem primarily from imports of previous metals and a faulty semiconductor price adjustment (which ends up overstating import volumes, roughly one quarter of China's imports of manufactures are chips).

The basic question facing China and its trading partners now is whether it is worth pushing China to change its pattern of growth, or whether, well, China's trading partners should just, well, chill, and accept China's "comparative advantage in industrial policy" will result in an ever more unbalanced Chinese economy.

I think the answer is obvious.

A deindustrialized Europe isn't in the interest of its military allies, including (for now at least) the United States.

A deindustrialized and politically radicalized Europe isn't in the interest of Europe's neighbors.

And a China that controls more of global supply will be in a stronger position to impose its policy preferences on the rest of the world. It will be very difficult to reduce weaponizable supply chain dependencies on China if the world is being more, not less, dependent on China in aggregate. Growing dependencies on base chemicals even as dependencies on the chemical precursors for active pharmaceuticals remain unresolved suggests the EU and the U.S. (together, or more likely separately) aren't yet prepared to effectively counter Chinese supply chain warfare.

All this matters, of course, because without a change in China's savings rate, any fall in investment should push China's surplus up more. The IMF's latest policy package for China recommends a permanent reduction to subsidized industrial investment (fair enough) and a modest and temporary half point of GDP in fiscal support for consumption. (paragraph 63)

The claim is that the reduction in inefficient investment will on its own raise demand today as consumers will instantly realize that they will be wealthier in the future and thus raise [illegible]t consumption. I am more of a bird in hand kind of guy; households who lose jobs building new factories aren't going to suddenly raise their consumption. A stronger push to support consumption would be needed to avoid a rise in the current account surplus if investment in both property and new manufacturing capacity are depressed.

The bigger point is that China is a bit of an outlier.

For example, it has a managed currency that is an independent vector of policy, one that isn't just a reflection of monetary policy choices.

And conventional policy advice needs to be recalibrated, at least in my view, in the context of an economy of China's size that saves 40 percent of its GDP. Singapore doesn't have China's scale—its 20 percent surplus is too high, but doesn't generate large global spillovers.

China's move back to surplus of 5 percent of its GDP* has resulted in large, negative spillovers to other manufacturing driven economies. A move toward a 10 percent or 15 percent of GDP surplus would have even bigger negative implications for China's trading partners. That should give even conventional macroeconomists pause because they advocate solutions to China's domestic imbalances that would imply even larger Chinese external imbalances—and a more distorted global economy.

* Correctly measured, as China clearly understates its investment income and the 2022 "survey" based adjustment to the goods line in the balance of payments still may knock a percentage point off the recorded surplus. A survey based methodology is something the IMF recommends (mistakenly in my view) but that doesn't change the fact that the introduction of this methodology revised China's surplus down in ways that neither the IMF or SAFE have been able to explain.

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